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Chapter 3

Automatic Bank Reconciliation



Automatic Bank Reconciliation Overview

If you receive your bank statement on paper, you will need to reconcile each entry manually using the Bank Statement Reconciliation options.

If, however, your bank sends you your statement on magnetic tape you can use the many features of Automatic Bank Reconciliation to run your statement reconciliation as an automatic batch job.

A typical option sequence might be as follows:

- Set up transaction types (Transaction Type).
- Load the tape (Load Data To Transfer File).
- Extract the data wanted for reconciliation (Interface Data Transfer).
- Run the automatic reconciliation (Automatic Bank Reconciliation).
- Print a report of unmatched items (Statement Match Status).
- EITHER: Use the options Bank Reference Or Cash Item or Bank Reference Or Statement to alter the bank references, then run Automatic Bank Reconciliation again;
- OR: Reconcile the unmatched items using Manual Bank Reconciliation.
- Delete a statement when it is fully reconciled (Statement Delete).

Interface Data Transfer



1/CSR

This option checks that all data received from the bank is valid before it is transferred. Once the process is complete, a report is produced of all transaction details, with an error message where an invalid transaction type is found.



Select the Interface Data Transfer option to see the following fields:

Fields:

Statement Number

This is the number assigned to your statement by the bank, and is unique within a bank account. If this number is entered, all statement details will have the same statement reference within Cash Management.

If you let this field blank the statement items will instead be sorted by date, and the reference will be that date in Julian date reference (0YYDDD), where 0 is the century flag; 0=20th C, 1=21st C).

Bank Account

Enter the General Ledger account code (not the bank reference).

If a specific account is entered, only transactions for this account will be selected. Leave this field blank for all transactions to be selected.



Press **Enter**, then **F8=Submit** to submit a job to transfer the data from the tape to the file.

Manual Bank Reconciliation



2/CSR

After running the Automatic Bank Reconciliation option you may be left with unmatched items.

There are two ways of dealing with this:

- Use the options for changing bank references (options 12 and 13 in Automatic Bank Reconciliation) and run the automatic reconciliation again.
- Select this option to match the remaining items interactively.



Select the Manual Bank Reconciliation option to see the first Manual Bank Reconciliation screen.

Manual Bank Reconciliation Screen 1



Select the Manual Bank Reconciliation option to display this screen.

Fields:

Bank Account

Enter the General Ledger bank code, not the bank reference.

The default is taken from the Cash Management company profile.

Statement Number

This is the number assigned to your statement by the bank, and is unique within a bank account.

This field may not be blank.



Press **Enter** to display the second screen.

Manual Bank Reconciliation Screen 2



Select the account and statement numbers in Manual Bank Reconciliation Screen 1 and press **Enter** to display this screen.

This shows two windows. The top one lists the outstanding Cash Management transactions, the bottom one the outstanding statement lines

CS483	E1 - Demonstration Company	ED3	20/01/94 11:05:44
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Manual Bank Reconciliation

Bank Account . . : 512100 Statement Number. . . : D2424
Bank Account Total . . : 31290.96 Statement Total . . : 10224.51

1	Bank reference	Typ	Date	Amount	Cash ref	Description
-	544666	CHQ	23/08/93	8.25-	20000061	
-	544667	CHQ	5/08/93	333.33	20000011	Olympic
-	544668	CHQ	5/08/93	5.00	20000020	Olympic
-	544669	CHQ	4/08/93	8892.21	20000005	
-	5292788	TFR	5/08/93	12.00-	20000018	

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-	544650-----	CHQ	09/08/92	2.00-		
-	544652-----	CHQ	09/08/92	2.00-		
-	5292699-----	TFR	08/08/92	435.32-		
-	544651-----	CHQ	08/08/92	435.32-		
-	544653-----	CHQ	08/08/92	345.21-		

F3=Exit F8=Update F12=Previous F15=Position to

Fields:

Select

Select the transaction you want in the top window and the statement line you want to match it with from the bottom window.



If you want to reposition either of the windows, press **F15=Position To** and the reposition window is displayed.

Position Lists Window (F15)

 This window displays when you press **F15=Position To** in Manual Bank Reconciliation Screen 2.

Select the transactions you wish to match at this window. If the total of Cash Management transactions selected matches the total of statement lines selected, the update will proceed. If the totals differ, however, the system will display the value of the discrepancy.

CS483	E1 - Demonstration Company	ED3	20/01/94 11:05:44
Manual Bank Reconciliation			
Bank Account . . :	512100	Statement Number. . . :	D2424
Bank Account To	Position lists		10224.51
1 Bank refere	Position either or both lists by filling in the fields below. The cash manager items will be sequenced by the selected reference		ion
544666			1
544667			
544668			
544669			
5292788			
Cash Manager items			
Position to bank reference			
OR			
Cash Reference			
Statement items			
Position to bank reference			
Enter=Action F12=Previous			
544650-----	CHQ 08/08/92	435.32-	
544652-----			
5292699----			
544651-----	CHQ 08/08/92	345.21-	
544653-----	CHQ 08/08/92	345.21-	
F3=Exit F8=Update F12=Previous F15=Position to			

Fields:

Cash Management Items

Position To Bank Reference

Enter the bank reference to which the top window should reposition.

Position To Cash Reference

Enter the Cash Management reference number to which the top window should reposition.

Statement Items

Position To Bank Reference

Enter the bank reference to which the bottom window should reposition. Press **Enter** to effect the repositioning of the windows.

 Select the transactions you wish to match and press **F8=Update**.

 If the discrepancy message displays, you can either return to the main screen and reselect your items for matching (**F12=Previous**), or you

can decide to send the discrepancy as a posting to a charges account. To do this, press **F8=Update** and the Mismatch Posting window displays.

Mismatch Posting Window



This screen displays if there is a discrepancy in the Position Lists Window (F15) and you pressed **F8=Update** to send the discrepancy as a posting to a charges account.

Enter mismatch posting details and update to update the whole procedure. The second screen redisplay for you to match the next items.

CS483	E1 - Demonstration Company	ED3	20/01/94 11:07:36
Manual Bank Reconciliation			
Bank Account . . :	512100	Statement Number. . . :	D2424
Bank Account Total . . :		8.25- Statement Total . . :	2.00-

Bank reference	Typ	Date	Amount	Cash ref	Description
1 544666	CHQ	23/08/93	8.25-	20000061	
- 544667	CHQ	5/08/93	333.33	20000011	Olympic
- 544666					
- 544666					
- 52927					

Mismatch posting

Account(?) Amount
CHARGE 6.25- Charges.

G/L Description...
Posting Date....: 200194 Period....: 9307

F4=Prompt F8=Update F12=Previous

1 54465					
- 544651	CHQ	08/08/92	435.32-		
- 544653	CHQ	08/08/92	345.21-		

F3=Exit F8=Update F12=Previous F15=Position to

Fields:

Account

Enter the account to which charge postings are to be made.

G/L Description

Enter a transaction description for the General Ledger.

Posting Date

This field defaults to today's date. You can amend this date.

Period

This field defaults to the current period. Change to a different period if required.



Specify the account details and press **F8=Update**. This updates the whole procedure, and returns you to the second screen where you can match the next items.

Automatic Bank Reconciliation



3/CSR

This option will compare all outstanding Cash Management transactions with the transactions transferred from the bank onto the system, and will match any two that have the same value and bank reference.

The bank reference is used by the bank to refer to a transaction - for example, the cheque number.

A report of mismatches will be produced.



Select the Automatic Bank Reconciliation option to see the following fields:

Fields:

Bank Account

Enter the General Ledger bank code, not the bank reference.

The default is taken from the Cash Management company profile.

Statement Number

This is the number assigned to your statement by the bank, and is unique within a bank account.

This field may not be blank.



Make your selection, press **Enter** and **F8=Submit**. This submits a job which will run the automatic reconciliation procedure.

Transaction Type



11/CSR

This option will be the first used on the Automatic Bank Reconciliation menu, as it sets up the transaction types needed in order to read the data sent by your bank.

The transaction types are used by the system to 'decode' the data on the statement sent on magnetic medium. Do not confuse these transaction types with those elsewhere in the system, which refer to item transactions - IN for invoice, etc.

You can define here all transaction types to be used, whether credits, debits, or summaries / totals; you may also decide to exclude certain types from the reconciliation procedure altogether.



Select the Transaction Type option to see the following field:

Fields:

Bank Account

Sets of transaction codes may vary from one bank to another. If this is the case, Enter the code for the bank for which you want to define transaction codes.

If you leave this field blank, the system will apply the codes entered to all banks.



Press **Enter** to display the maintenance screen.

Transaction Type Maintenance Screen



This screen displays when you have entered a bank account in the Transaction Type initial screen and press **Enter**.

Enter details of a new transaction type or amend an existing one.



*Note: The file is updated once a new type is added to the list. The type remains even if you exit from the screen using **F12=Previous** or **F3=Exit**.*

CS480		E1 - Demonstration Company		ED3	5/01/94 15:23:29	
Transaction Types Maintenance						
Bank Account : 512100						
1	Bank Type	Payment Method	Description	Bank Credit	Total Record	Exclude Record
1	DD	DOB	DIRECT DEBIT	0	0	0
 — — — — —						
F3=Exit		F4=Prompt		F12=Previous		

Fields:

Bank Type

Enter the transaction type code used by the bank to indicate a particular transaction.

Payment Method

Enter the payment method corresponding to the transaction type entered.

Bank Credit

If the transaction type refers to a transaction which is a credit rather than a debit, enter 1 here.

Total Record

If the transaction type here refers to a record which is a total rather than a transaction which will appear as a line on the statement, enter 1 here.

Exclude Record

1 - The transaction type refers to a record which is of no use to the reconciliation process. The record will be ignored when processing.



Note: If 1 is entered here, no payment method need be entered.



Enter one transaction type and press **Enter**. The transaction type displays at the top of the screen, leaving the entry fields free for entry of another type.

Bank Reference on Statement



13/CSR

This option enables you to change the bank reference of a transaction on your bank statement. Use this to match items.



Select the Bank Reference on Statement option to see the following fields:

Fields:

Bank Account

Enter the General Ledger bank code, not the bank reference.

The default is taken from the Cash Management company profile.

Statement Number

This is the number assigned to your statement by the bank, and is unique within a bank account.

This field may not be blank.



Press **Enter** to see a list of all the outstanding items for the statement.

Bank Reference Maintenance Outstanding Items Screen



This screen displays when you have entered details in the Bank Reference on Statement initial screen and pressed **Enter**.

This screen displays a list of all the outstanding items for the statement.

CS490	E1 - Demonstration Company	USER ED3	20/01/94 11:17:41
Bank reference maintenance			
Bank Account . . . : 512100		CURRENT GBP ACCOUNT	
Statement Number . : D2424			
Sel	Bank Reference	Posting Date	Amount
1	544650-----	9/08/92	2.00-
-	544652-----	8/08/92	435.32-
-	5292699-----	8/08/92	435.32-
-	544651-----	8/08/92	345.21-
-	544653-----	8/08/92	345.21-
Position to bank reference . : _____			
1=Select			
F3=Exit F12=Previous			

Fields:

Select

Enter 1 beside the transaction you want to maintain.

Position To

If you wish to reposition the list, Enter the reference at which you want the list to begin.



As soon as you have made your selection the system will automatically present the next screen. You have no need to press **Enter**. The Bank Reference Maintenance Screen shows the transaction details.

Bank Reference Maintenance Transaction Details Screen



This screen is presented automatically as soon as you have made your selection in the Bank Reference Maintenance Outstanding Items Screen. You have no need to press **Enter**.

This screen shows the transaction details.

CS490	E1 - Demonstration Company	USER ED3	20/01/94 11:18:33
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Bank reference maintenance

Bank	512100	CURRENT GBP ACCOUNT
Amount		2.00-
Period	9102	
Posting Date . .	920809	
Payment Method .	CHQ CHEQUE	
Bank Reference .	<u>544650-----</u>	

F3=Exit F8=Update F12=Previous

Fields:

Bank Reference

This field shows the current bank reference. This may be amended as required.



Amend the reference and **F8=Update** to update.
The list of transactions redisplay with your amendments.

Statement Match Status



21/CSR

This option produces a report listing the details of all unmatched items.



Select the Statement Match Status option from to see the following fields:

Fields:

Bank Account

Enter the General Ledger bank code, not the bank reference.

The default is taken from the Cash Management company profile.

Statement Number Range

Enter the range of bank statements to be included in the report.



Enter the account number and statement range, press **Enter** and then **F8=Update** to generate the report.

Load Data to Transfer File



81/CSR

This option is used when you are first loading your statement tape from the bank. It loads the tape data into a file ready for analysis and preparation by the Interface Data Transfer option.



Select the Load Data to Transfer File option to see a window asking you to press **F8=Submit** to submit a job to load the tape data to the transfer file.

Statement Delete



82/CSR

Load a tape of transactions from your bank to store the data in a file. When this data is no longer needed (when, for instance, all outstanding unmatched transactions have been dealt with) it should be deleted from the file.

All data relating to the statement number entered, will be deleted.



Select the Statement Delete option to see the following fields:

Fields:

Statement Number

This is the number assigned to your statement by the bank, and is unique within a bank account.

This field may not be blank.

Bank Account

Enter the General Ledger bank code, not the bank reference.

The default is taken from the Cash Management company profile.



Select the statement to delete and press **F8=Submit** to submit a job which will carry out the deletion.